Avalon Technologies Ltd

Earnings-call (concall) tracker | NSE/BSE: AVALON | Report date: 04 July 2026 | Latest call read: **Q4 FY26 (7 May 2026)**

1. Snapshot — what the business is

Plain-English: Avalon is a full-service **contract electronics manufacturer** (the industry calls it EMS — Electronic Manufacturing Services). Other companies design a product; Avalon builds it for them. It makes the stuffed circuit boards (PCBAs), cable and wire harnesses, sheet-metal and machined parts, and — increasingly — the fully assembled finished electronic boxes and systems (called **"box-build"**). Its customers are makers of industrial equipment, clean-energy/battery systems, trains (rail), aircraft (aerospace), communications gear and, newly, semiconductor-making machines. Its edge is a **"dual-shore" model**: it manufactures in both India (low cost) and the United States (close to US customers, avoids import tariffs).

Figure (latest)	Value	Plain read
Market value (market cap)	≈ ₹12,055 cr (2 Jul 2026)	What the whole company is worth on the stock market — about ₹1.2 lakh crore-tenths; a mid-cap.
Share price	≈ ₹1,838	Price of one share.
Price-to-earnings (PE)	≈ 107x	Investors pay ~₹107 for every ₹1 of yearly profit — **very expensive**; the market expects fast growth for years.
FY26 revenue (sales)	₹1,603 cr	Total sales in the year to Mar-2026 — up 46% on last year's ₹1,098 cr.
FY26 net profit (PAT)	₹113 cr	Final profit after all costs and tax — up 78% from ₹63 cr. Profit grew far faster than sales.
FY26 operating margin (EBITDA)	≈ 11% (₹173 cr)	Out of every ₹100 of sales, ~₹11 is operating profit before interest/tax/depreciation — thin but rising.
Return on capital (ROCE)	20% (FY26)	The business earned 20% on the money employed in it — healthy, up from 13% a year ago.
Debt	Low (net debt/equity ≈ 0.04)	Almost no net borrowing — the company is very lightly geared.
Promoter holding	44.4% (Mar-2026)	**Down from ~51%** in early FY26 — founders sold ~6% stake during the year (see note in Section 4).

2. Concall coverage

Read chronologically from the on-disk Screener transcripts (oldest → newest). The last call on disk is Q3 FY26 (Feb 2026); the newest call — **Q4 FY26 (7 May 2026)** — was reconstructed from the web (results releases, the earnings-call transcript summary and an analyst note), because the transcript PDF was not available on disk.

Quarter	Call date	Source
Q4 FY23 / FY23 full year	Jun 2023	On-disk transcript ✓
Q2 FY24	Nov 2023	On-disk transcript ✓
Q3 FY24	Feb 2024	On-disk transcript ✓

Q4 FY24 / FY24 full year	May 2024	On-disk transcript ✓
Q1 FY25	Aug 2024	On-disk transcript ✓
Q2 FY25	Nov 2024	On-disk transcript ✓
Q4 FY25 / FY25 full year	May 2025	On-disk transcript ✓
Q1 FY26	Aug 2025	On-disk transcript ✓
Q2 FY26	Nov 2025	On-disk transcript ✓
Q3 FY26	Feb 2026	On-disk transcript ✓ (last on disk)
Q4 FY26 / FY26 full year	**7 May 2026**	**Web sources** (transcript not on disk)

Span: ~3 years / 11 calls. This is a rich, consistent record. Web sources for Q4 FY26: company results release, PL Capital Q4FY26 result update, Tradebrains, AlphaSpread earnings-call summary, Business Standard.

★ Latest concall highlights — Q4 FY26 (7 May 2026)

- **Record quarter, big full-year beat.** Q4 revenue **₹480 cr** (up 40% on last year, up 15% on the prior quarter); Q4 net profit **₹41 cr** (up 69%). For the full year FY26: revenue **₹1,603 cr (+46%)** and net profit **₹113 cr (+78%)** — the company beat its own raised guidance of ~40% growth. *Plain read: sales grew ~46% and profit nearly doubled — a very strong finish.*
- **Doubling target hit a year early; new one set.** Management had promised to double revenue between FY24 and FY27 — it got there roughly **one year ahead**. It has now set a **new target to double again from FY26 to FY29** (₹1,603 cr → ~₹3,200 cr). *Plain read: they delivered on the last big promise early and immediately raised the bar.*
- **Order book ₹2,196 cr, up ~25%.** This is the near-term book (~14 months of forward sales visibility); on top of it sit ₹1,245 cr of longer 15–36-month contracts (total pipeline ~₹3,200 cr+). *Plain read: more than a full year of sales is already booked, so FY27 growth is well underpinned.*
- **FY27 guidance 24–27% revenue growth**, gross margin held at 33–35%, capex kept light at ₹50–60 cr/year. US import tariffs eased from 50% to 18% and ~99% of the tariff cost was passed to customers. *Plain read: management is guiding for another year of mid-20s% growth without needing heavy new investment.*
- **New high-value verticals moving from pilot to production.** Semiconductor-equipment parts near volume ramp (meaningful from FY27); aerospace cabin sub-assemblies passed inspection; rail loco sub-systems and the Kavach anti-collision system progressing; clean-energy/battery-storage (BESS) grew ~45% and is ~20% of sales. *Plain read: several new growth engines are shifting from trials into real orders.*

Tone: Confident but still deliberately conservative on guidance. One caution for investors: an analyst (PL Capital) **downgraded the stock to HOLD** right after these results — not on any business worry, but because the share price had run up so far (trading at ~40x FY28 estimated earnings).

2c. Business mix & capacity (quick facts)

Where sales come from (by end-market): roughly **~62% exports (mainly USA) / ~38% India** in FY26. In the year the US end-business grew ~59% and the India end-business ~29%. *Plain read: nearly two-thirds of sales serve overseas (chiefly American) customers, and that overseas side is growing fastest.*

Where things are made (by factory location): ~77% made in India, ~23% made in the USA. India factories run at a healthy ~16.7% operating margin; the US factories still make a small loss (~₹5 cr in Q4, narrowing from ~₹9 cr/quarter), with break-even expected around late FY27. *Plain read: the profit comes from India today; the US arm is a growth bet not yet paying its way.*

Box-build share: ~54% of FY26 revenue (56% in Q4), up from ~44% four years ago and ~49% in FY25. *Plain read: more of the work is now higher-value finished assemblies rather than loose parts.*

Capacity: A specific utilization % was **not disclosed**. The model is deliberately capex-light — asset turns ~9.5x (very high output per rupee of plant) — with two new facilities added and capex of only ₹50–60 cr/year funding the ~25% growth plan. *Plain read: they can keep growing sales fast without spending big on new plants.*

★ 3. Earning-trigger thesis — what management says will grow profits

The core story is **a fast-growing, capex-light EMS company climbing the value chain**. Four levers work together: (1) shifting the sales mix toward higher-value **box-build** finished products; (2) the **dual-shore India + US model** — now with US tariffs normalised, "make-in-India-for-the-US" plus "make-in-US-for-US" are both live growth engines; (3) a set of **new high-value verticals** — semiconductor equipment, aerospace/defence, rail (Kavach), and clean-energy battery storage — moving from pilot to volume; and (4) **operating leverage**: as revenue scales, margins widen (India factories already at ~16.7% operating margin; US losses shrinking). A ₹2,196 cr order book gives ~14 months of visibility behind it.

Trigger	What management said	Evidence so far	Horizon	Strength
Box-build mix shift	Move up from parts to finished assemblies to lift value & margin	44% → 49% → 54% of revenue over ~4 years; margins rising	Ongoing	**Strong** — steadily delivered
Dual-shore / US-for-US + tariff normalisation	India cost base + US presence wins share as tariffs fell 50%→18%	US business +59% in FY26; ~99% of tariff cost passed on; new US program wins	1–3 yrs	**Strong** — playing out
New verticals: semicon equipment, aerospace/defence, rail	New high-value programs to become separate verticals	Semicon near volume (FY27); aero cabin parts passed inspection; rail loco/Kavach live; still early	FY27+ (2–3 yrs)	**Moderate** — real but unproven at scale
Operating leverage → margin expansion	Margins widen as revenue scales; US to break even	EBITDA margin ~10.5%→~11%; PAT +78%; US loss narrowing to ₹5 cr	1–2 yrs	**Strong** — visible in numbers

4. Management consistency scorecard — promised vs delivered

Period	What was promised / guided	What actually happened	Verdict
FY23 call (May-2023)	Guided FY24 revenue growth of **25–30%** and operating margin up to **12–13%**	**Missed badly** — a US customer inventory glut turned FY24 into **–8% revenue** and 7% margin; the US recovery was deferred three times	**Missed**

FY24 recovery calls	After the miss, cut guidance to a FY24 decline of ~8–10%; promised US destocking to bottom and recovery in FY25	FY24 landed exactly on the cut guidance (–8.2%); FY25 then rebounded to ₹1,098 cr (+27%), margin back to ~10%	**Delivered**
Q1 FY25 (Jun-2024)	Softest quarter — small loss (–₹2 cr), 2% margin; management called the bottom and raised FY25 guidance to 16–20%	Snapped back hard from Q2 FY25 — seven straight quarters of sequential growth since	**Delivered**
"Double revenue in ~3 years" (FY24 → FY27)	Reiterated in every single call from FY23 onward	Achieved ~1 year **early** (FY26 ₹1,603 cr vs FY24 ₹867 cr); new "double again FY26 → FY29" target set	**Delivered** (early)
FY26 guidance	Started at 18–20%, then **raised three times** (→23–25% →28–30% →~40%)	Delivered 46% — beat even the thrice-raised number	**Delivered** (beat)
Working-capital & capex discipline	Cut net working-capital days to 120–130 by Mar-26; stay capex-light (₹50–60 cr/yr); 33–35% gross margin	Beat it — 112 days by Mar-26; capex held ~₹56 cr; asset turns ~9.5x; gross margin held in band	**Delivered**
New verticals (semicon/aero/rail/BESS)	Repeatedly flagged as future revenue; semicon volumes "from FY27"	Progressing on schedule (approvals, first parts, inspections passed) but not yet material revenue	**Too-early**

Narrative drift: Two distinct chapters. **Chapter 1 (FY23–FY24) was a genuine credibility hole:** the very first guidance (25–30% growth, 12–13% margin) was badly missed as US customers destocked, and management serially pushed out the recovery, eventually admitting its assumptions had been "too optimistic." **Chapter 2 (FY25 onward) is emphatic repair:** the recovery landed, and management then **beat and raised guidance quarter after quarter** — the exact opposite of the FY24 cut-cut-cut pattern — while the core story stayed rock-steady (box-build up the value chain, dual-shore India/US, 33–35% gross margin, ~8–10x asset turns, "double every 3 years"). Trigger changes have been sensible and additive — clean energy quietly reframed from solar to battery storage (dodging US subsidy-rollback risk), and genuinely new legs added (the Zepco design partnership, and semiconductor-equipment box-builds now pitched as the next decadal driver) — not a pivot away from the original thesis. **Items to watch:** promoter holding fell from ~51% to ~44% during FY26 (a founder stake sale around Sep-2025) — not a broken promise, but worth noting given the rich valuation; and US-factory losses, though narrowing, have taken longer than first hoped to reach break-even (now guided to late FY27).

5. Bottom line — the two verdicts

Durable earning trigger? → YES. There is a clear, concrete and still-live driver, and it is visibly playing out: revenue up 46% and profit up 78% in FY26, the FY24→FY27 doubling hit a year early, a ₹2,196 cr order book giving ~14 months of visibility, box-build mix rising, margins widening, and several new high-value verticals moving toward volume. The growth is diversified across products and geographies rather than resting on one customer or one bet.

Management consistent? → YES. This is a YES that had to be earned back. FY24 was a real miss — the debut guidance (25–30% growth) collapsed into an 8% decline and the recovery was deferred three times. But over the two years since, management has been strikingly reliable: it raised FY26 guidance three times and beat even that (46% vs ~40%), hit the "double in 3 years" target a year early, and delivered on working-capital and capex discipline — seven straight quarters of sequential growth. The core story never lurched; it broadened sensibly. A company that stumbles, owns it, and then out-delivers for two straight years is consistent. The remaining caveats — the ~6-point promoter stake sale in FY26 and the slower-than-hoped US break-even — are watch-items, not enough to lower the verdict.

Investor caution (not part of the two verdicts): The business is excellent, but the stock is priced for near-perfection at ~107x earnings (~40x FY28 estimates), and one broker has already moved to HOLD purely on valuation. A durable trigger and consistent management do not, on their own, make an expensive share cheap.

Prepared 04 Jul 2026 from Avalon's Screener earnings-call transcripts (Jun-2023 → Feb-2026) plus web sources for the Q4 FY26 (7 May 2026) results and call. Figures rounded; "plain read" lines are explanatory, not forecasts. This is an educational summary, not investment advice.